

The Home Depot, Inc.: accounting policy assessment

Form 10-K for the fiscal year ended February 1, 2026 (fiscal 2025), with the fourth-quarter results release. One year read on its own; no comparison with the prior year.

1. Policy profile

Area	What the report says	Where it sits	Why, in a few words	Size
1. Revenue recognition	Booked when the customer takes possession or the service is complete; returns estimated; gift card breakage immaterial (10-K p. 52)	Typical	Point-of-sale retail; little rests on estimates	Not quantified
2. Reserves and allowances	Receivables allowance "was not material" (p. 48); returns liability given no amount (p. 52); self-insurance "(undiscounted)" \$1.6bn (p. 52); "All schedules are omitted" (p. 81)	Can't tell: not enough disclosed	No balances or movements for allowance or returns; undiscounted self-insurance is the cautious choice	Not quantified. Self-insurance balance is 8.6% of pre-tax income (a balance)
3. Capitalized costs and useful lives	Intangibles "straight-line... up to approximately 20 years" (p. 51); customer relationships 20 and 19 years (pp. 76, 74), valued using "customer attrition rates" (p. 74). Property lives p. 49	Leans aggressive for customer relationships; property typical	Long, level write-off of an asset valued on attrition (rests on general practice). Property: implied life 13.5 years, capex 1.07x depreciation	Not quantified. Illustration: a 15-year life adds about \$112m, 0.6% of pre-tax income
4. Impairment and goodwill	SRS units: fair value "exceeded its respective carrying amount"; GMS: "no events or circumstances" (p. 60)	Can't tell: room not disclosed	No margin given for units bought 16 months before the test; GMS not tested	No charge. Goodwill in "Other" is \$13.8bn, 74% of pre-tax income (a balance)
5. Off the balance sheet	Leases on balance sheet; supplier finance \$414m inside payables; card receivables held by unconsolidated third parties (pp. 37, 50-52, 59, 73)	Typical	Standard retail arrangements, disclosed	Exposures: \$675m leases not yet started, \$1.9bn purchase obligations, \$738m letters of credit
6. Related parties	"incorporated by reference to... our Proxy Statement" (p. 81); no note in the statements	Can't tell: not in the documents	Proxy not attached	Not quantified
7. Contingencies	Litigation "not expected to have a material adverse effect" (p. 73); no accrual or range	Can't tell: no amounts	Standard wording, nothing to measure	Not quantified
8. Auditor and controls	Unqualified on statements and controls; one critical audit matter (retail-method inventory); GMS outside the controls audit (pp. 41-42, 77-78)	Typical	Clean opinions, no weakness	Not quantified
9. Adjusted measures	Release "excludes... amortization expense from acquired intangible assets" (release p. 8); return on invested capital uses "long-term debt (including current installments) and equity" (10-K p. 35)	Leans aggressive	A cost that recurs each year is left out; short-term debt is left out of capital	\$607m, 3.3% of pre-tax income

Pages are the [p. N] markers in the files; the report's own footer numbers run four lower.

2. Full write-ups

No claim was contradicted in the statements, the notes or the management discussion; every claim I could test held. The three below are areas that lean aggressive, or points within them.

Adjusted measures: recurring amortization left out

- **The report says:** adjusted results exclude "amortization expense from acquired intangible assets" (release, Non-GAAP Financial Measures, p. 8).
- **Test:** the claim is that adjusted diluted earnings per share for fiscal 2025 were \$14.69 after adding back \$607m of amortization, less tax. Recomputed: $\$14.23 + \$0.61 - \$0.15 = \14.69 , and the adjusted operating margin is 13.1%. Both hold. Size: \$607m, 3.3% of pre-tax income.
- **Reading:** most likely ordinary, because the adjustment is one item, fully reconciled, and common among acquirers. The profile still leans aggressive because the charge recurs: the note schedules \$683m for fiscal 2026 (Note 4, p. 61), while the acquired sales stay in. If acquisitions are a regular way of growing, the excluded charge would be better read as a running cost.
- **Read next:** the proxy statement, to see whether incentive pay uses the adjusted figures; and operating income for "Other" (\$316m after \$398m of amortization, Note 2, pp. 55-56) in coming quarters.

Customer relationships: 19 to 20 years, straight-line

- **The report says:** straight-line “approximates the pattern of expected economic benefit” (Note 1, p. 51); the same assets were valued using “customer attrition rates” (Note 13, p. 74).
- **Test:** the claim is about the pattern of benefit from definite-lived intangibles over their lives. It can't be tested as stated, because the attrition rates are not disclosed. What can be checked is that the stated lives are the ones charged: \$500m on an average gross \$9.7bn is 5.2% a year, and rebuilding the total from the stated lives gives \$604m against \$607m reported. Size: not quantified; the 15-year illustration is \$112m, 0.6% of pre-tax income.
- **Reading:** possibly a slightly stretched choice, since a customer base valued on attrition usually yields more benefit early, which a level 20-year charge defers. This rests on general practice, not on a figure in the report. Low disclosed attrition would point to ordinary.
- **Read next:** the final GMS allocation, whose lives are still “preliminary” (p. 75), and any attrition disclosure.

Return on invested capital: commercial paper outside the capital base

- **The report says:** ROIC “was 25.7%” and fell on “higher average equity... and higher average long-term debt” (Executive Summary, p. 32).
- **Test:** the claim is about company ROIC for fiscal 2025 as the report defines it. Recomputed: $\$15,897\text{m} / \$61,914\text{m} = 25.7\%$. Capital grew 18.1% while after-tax operating profit fell 3.2%, so the stated cause holds. The definition leaves out \$4,464m of commercial paper (p. 43), 8.0% of borrowings before operating leases. Including average short-term debt gives 24.7%. Size: no income effect; one point of ROIC.
- **Reading:** most likely ordinary, a stated definition applied as written. It matters this year because the report says commercial paper funded “the repayment of senior note maturities” (p. 36), which moved debt out of the measure. Terming out the paper would close the gap.
- **Read next:** the proxy, since performance shares pay on “target average ROIC” (p. 71) and the definition used there is not given.

3. Also noted

- Tie-out gap: depreciation and amortization is \$4,121m in the cash flow statement (p. 47) and \$4,059m in the segment note (p. 55), a \$62m (1.5%) difference. Stock compensation is \$522m (p. 47) against \$524m (p. 69).
- The rise in overhead is partly explained by a “non-recurring legal-related benefit recognized during fiscal 2024” (p. 34) with no amount, so it can't be tested; last year's report gives no figure either.
- “Other” (SRS and GMS, four operating segments, none reportable, p. 55) holds 62% of goodwill but 7.7% of company sales and 1.5% of operating income.
- GMS is “approximately 1%” of net sales in the controls exclusion (p. 77); \$2.0bn of \$164.7bn is 1.2%, so it holds at rounding. Finance systems are also being migrated (p. 77).

4. Not in the documents

Related-party transactions (in the proxy); a Schedule II or any reserve roll-forward; amounts for the returns liability, receivables allowance, legal accruals, capitalized software and interest, and the card receivables held by third parties.